Indosat Ooredoo Hutchison (ISAT IJ)

Buy: 3Q mixed – mobile revenue up, but margins down

Equities
Wireless Telecommunications

Indonesia

- 3Q results reaffirm mobile pricing discipline as ARPU rises 4% q/q, but EBITDA growth is muted at 1% q/q
- We expect earnings growth to improve with higher mobile revenue and growth in the enterprise segment
- Maintain Buy with unchanged TP of IDR3,000; key catalysts – mobile revenue growth and fibre asset monetisation

Maintain Buy: earnings growth set to improve with higher mobile and enterprise revenue: We expect mobile revenue to rise due to higher mobile ARPU led by pricing discipline in the industry, removal of discounts and higher starter pack prices. Medium-term, we also expect the company to gain market share with the expansion of its network coverage and distribution, and increase its market share in the enterprise segment. Overall, we expect EBITDA / net profit CAGR of c5%/14% over 2024-27e. We see dividends rising progressively and expect the dividend payout ratio to rise to 70% by 2026e (from 55% in 2024). The stock is attractively valued at 2026e 3.7x EV/ EBITDA and 10.8x PE, with a 6.5% dividend yield. Our TP is unchanged at IDR3,000. See page 6 for risks to our view.

3Q25 revenue in line; ARPU up c4% q/q: Revenue for the quarter grew c4% q/q to IDR14trn. Mobile revenue was up c4% q/q to IDR11.8trn. This was a result of higher ARPU driven by higher starter pack prices, rationalisation of freebies and discounts, and hyper personalisation initiatives. Mobile ARPU for 3Q25 stood at IDR40k (vs IDR38.5k in 2Q). EBITDA for the quarter was up c1% q/q to IDR6.5trn. EBITDA growth was slower q/q due to some costs booked upfront in the enterprise segment and volatility around some cost items. EBITDA for 9M'25 came at IDR19.3trn (down 3% y/y) and was tracking at 71% our 2025 estimate. EBITDA margin for 9M25 stood at 47.0% (vs 47.8% for 9M24). Net profit for 3Q stood at IDR1.25trn up 9% y/y.

Key highlights from the earnings call: 1) The company reiterated its 2025 EBITDA growth guidance of low-single digit growth y/y. As per the company, 4Q'25 EBITDA would be driven by higher mobile revenue as consumer purchasing power is improving and pricing discipline is maintained in the industry. In addition, revenue contribution revenue from GPU-as-a-service to increase in 4Q and cost discipline would be maintained; 2) it expects mobile ARPU to trend upwards and expects ARPU to rise to IDR45-50k in the medium term; 3) the bulk of revenue from GPU-as-a-service for 2025 should be reflected in 4Q25. The company reiterated revenue from GPU as a service to be USD35m in 2025, with a 60% EBITDA margin; and 4) it expects fibre asset monetisation to conclude during 4Q25. With fibre being a strategic asset, particularly in the context of AI adoption, the company wants to balance short-term and long-term objectives and ensure long-term value creation through fibre asset monetisation.

MAINTAIN BUY

TARGET PRICE (IDR)	PREVIOUS TARGET (IDR)
3,000.00	**3,000.00**
SHARE PRICE (IDR)	UPSIDE/DOWNSIDE
1,950.00 (as of 28 Oct 2025)	**+53.8%**

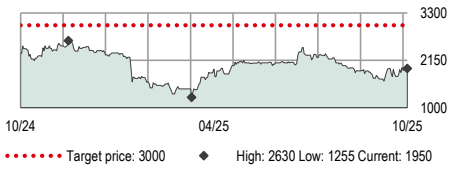
MARKET DATA

Market cap (IDRb)	62,889	Free float	34%
Market cap (USDm)	3,787	BBG	ISAT IJ
3m ADTV (USDm)	2	RIC	ISAT.JK

FINANCIALS AND RATIOS (IDR)

Year to	12/2024a	12/2025e	12/2026e	12/2027e
HSBC EPS	152	157	180	226
HSBC EPS (prev)	152	157	180	226
Change (%)	0.0	0.4	0.3	0.0
Consensus EPS	160	180	203	229
PE (x)	12.8	12.4	10.8	8.6
Dividend yield (%)	4.3	4.8	6.5	8.1
EV/EBITDA (x)	4.4	4.1	3.7	3.2
ROE (%)	15.3	14.7	16.0	19.0

52-WEEK PRICE (IDR)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Indosat Ooredoo Hutchison

Buy

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (IDRb)				
Revenue	55,887	56,251	59,073	62,050
EBITDA	26,375	26,667	28,330	30,200
Depreciation & amortisation	-15,558	-16,118	-17,039	-17,670
Operating profit/EBIT	10,838	10,926	11,291	12,530
Net interest	-4,115	-4,109	-3,517	-2,890
PBT	6,733	6,820	7,774	9,641
HSBC PBT	6,702	6,818	7,774	9,641
Taxation	-1,460	-1,364	-1,555	-1,928
Net profit	4,911	5,071	5,812	7,283
HSBC net profit	4,916	5,069	5,812	7,283
Cash flow summary (IDRb)				
Cash flow from operations	23,209	25,829	26,824	27,728
Capex	-12,673	-13,219	-13,587	-13,651
Cash flow from investment	-12,465	-13,219	-13,587	-13,651
Dividends	-2,164	-2,703	-3,041	-4,069
Change in net debt	1,646	-5,799	-6,679	-7,119
FCF equity	10,650	12,610	13,237	14,077
Balance sheet summary (IDRb)				
Intangible fixed assets	20,117	19,498	18,761	17,904
Tangible fixed assets	74,143	71,862	69,147	65,986
Current assets	14,878	12,709	11,556	13,911
Cash & others	4,454	2,253	932	3,110
Total assets	114,387	109,318	104,714	103,050
Operating liabilities	21,221	21,737	22,982	23,645
Gross debt	54,276	46,276	38,276	33,335
Net debt	49,822	44,023	37,343	30,224
Shareholders' funds	33,498	35,528	37,272	39,457
Invested capital	86,473	83,090	78,562	74,057

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	9.1	0.7	5.0	5.0
EBITDA	10.2	1.1	6.2	6.6
Operating profit	3.9	0.8	3.3	11.0
PBT	13.5	1.3	14.0	24.0
HSBC EPS	38.1	3.1	14.7	25.3
Ratios (%)				
Revenue/IC (x)	0.7	0.7	0.7	0.8
ROIC	10.3	10.3	11.2	13.1
ROE	15.3	14.7	16.0	19.0
ROA	7.7	7.8	8.4	9.6
EBITDA margin	47.2	47.4	48.0	48.7
Operating profit margin	19.4	19.4	19.1	20.2
EBITDA/net interest (x)	6.4	6.5	8.1	10.5
Net debt/equity	135.9	112.7	90.6	69.0
Net debt/EBITDA (x)	1.9	1.7	1.3	1.0
CF from operations/net debt	46.6	58.7	71.8	91.7
Per share data (IDR)				
EPS Rep (diluted)	152	157	180	226
HSBC EPS (diluted)	152	157	180	226
DPS	84	94	126	158
Book value	1,039	1,102	1,156	1,223

Valuation data

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	2.1	2.0	1.8	1.6
EV/EBITDA	4.4	4.1	3.7	3.2
EV/IC	1.3	1.3	1.3	1.3
PE*	12.8	12.4	10.8	8.6
PB	1.9	1.8	1.7	1.6
FCF yield (%)	16.9	20.1	21.0	22.4
Dividend yield (%)	4.3	4.8	6.5	8.1

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2023a
GHG emission intensity*	n/a
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**12/2023a**
Employee costs as % of revenues	7.2
Employee turnover (%)	1.4
Diversity policy	Yes

Governance Indicators	12/2024a
No. of board members	15
Average board tenure (years)	3.1
Female board members (%)	0
Board members independence (%)	33.3

Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (IDR)	1950.00	Free float	34%
Target price (IDR)	3000.00	Sector	Wireless Telecoms
RIC (Equity)	ISAT.JK	Country/Region	Indonesia
Bloomberg (Equity)	ISAT IJ	Analyst	Piyush Choudhary, CFA
Market cap (USDm)	3,787	Contact	+65 6658 0607

Price relative

Source: HSBC

Note: Priced at close of 28 Oct 2025

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3Q25 results: Cellular revenue up 4% q/q driven by higher ARPU

EBITDA growth muted at c1% q/q due to margin pressure

1. ISAT 3Q25 results

Indosat (Y/E Dec) In IDRbn	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	QoQ (%)	YoY (%)	9M 24	9M 25	YoY (%)
Cellular	11,634	11,801	11,422	11,328	11,808	4%	1%	35,235	34,557	-2%
MIDI	1,991	2,079	1,961	2,000	2,039	2%	2%	5,907	6,000	2%
Fixed telecommunications	211	194	195	204	206	1%	-3%	670	604	-10%
Total revenue	**13,836**	**14,075**	**13,578**	**13,532**	**14,052**	**4%**	**2%**	**41,812**	**41,162**	**-2%**
EBITDA	**6,588**	**6,375**	**6,415**	**6,440**	**6,493**	**1%**	**-1%**	**20,000**	**19,348**	**-3%**
EBITDA margin (%)	*47.6%*	*45.3%*	*47.2%*	*47.6%*	*46.2%*			*47.8%*	*47.0%*	
Net Profit / (Loss)	1,143	1,033	1,311	1,024	1,252	22%	9%	3,878	3,587	-7%
Net Profit / (Loss) - Normalised	**1,126**	**1,088**	**1,154**	**1,021**	**1,319**	**29%**	**17%**	**3,828**	**3,494**	**-9%**
KPI										
Subscribers (000s)	**98,700**	**94,700**	**95,400**	**95,400**	**95,000**	**0%**	**-4%**			
Prepaid	97,300	93,200	93,800	93,700	93,000	-1%	-4%			
Postpaid	1,400	1,500	1,600	1,700	2,000	18%	43%			
ARPU (IDR '000)	**37.2**	**38.9**	**39.2**	**38.5**	**40.0**	**4%**	**8%**			
BTS (in #)	**247,054**	**250,317**	**256,652**	**259,382**	**266,272**	**3%**	**8%**			
2G BTS	53,389	53,862	54,366	55,489	56,419	2%	6%			
3G/4G/5G BTS	193,665	196,455	202,286	203,893	209,853	3%	8%			

Source: Company data

Margins declined q/q due to higher personnel, and general administrative costs

2. Operating expense trends

Particulars (IDRbn)	3Q24	4Q24	1Q25	2Q25	3Q25	QoQ (%)	YoY (%)
Operating expenses	**7,247**	**7,700**	**7,163**	**7,091**	**7,559**	**7%**	**4%**
Cost of Services	5,596	5,993	5,718	5,824	6,061	4%	8%
Personnel cost	980	950	808	695	814	17%	-17%
Marketing cost	472	535	422	380	405	6%	-14%
General and Administrative cost	199	222	215	192	280	46%	40%
Opex as a % of Revenue	**52.4%**	**54.7%**	**52.8%**	**52.4%**	**53.8%**		
Cost of Services	*40.4%*	*42.6%*	*42.1%*	*43.0%*	*43.1%*		
Personnel cost	*7.1%*	*6.7%*	*6.0%*	*5.1%*	*5.8%*		
Marketing cost	*3.4%*	*3.8%*	*3.1%*	*2.8%*	*2.9%*		
General and Administrative cost	*1.4%*	*1.6%*	*1.6%*	*1.4%*	*2.0%*		

Source: Company data

Cost of services rose q/q due to higher partnership and installation cost

3. Cost of services trends

Particulars (IDR bn)	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	*QoQ (%)*	*YoY (%)*
Cost of Services	**5,183**	**5,429**	**5,612**	**5,539**	**5,596**	**5,993**	**5,718**	**5,824**	**6,061**	4%	8%
Radio frequency fee	1,663	1,664	1,684	1,679	1,669	1,682	1,698	1,700	1,703	0%	2%
Rental and services	1,132	1,272	1,341	1,157	1,242	1,255	1,216	1,115	1,127	1%	-9%
Maintenance	699	647	790	776	749	883	871	871	930	7%	24%
Utilities	538	542	528	552	563	558	550	556	570	2%	1%
Partnership cost	105	219	259	319	374	466	380	453	556	23%	49%
Interconnection	400	350	357	398	309	333	335	379	365	-4%	18%
Installation	216	338	226	234	325	443	319	368	440	20%	36%
USO	161	173	176	180	175	175	170	169	174	3%	-1%
Others	270	224	252	245	189	197	176	213	196	-8%	3%
As a % of revenue											
Cost of Services	***40.5%***	***39.4%***	***40.6%***	***39.2%***	***40.4%***	***42.6%***	***42.1%***	***43.0%***	***43.1%***		
Radio frequency fee	*13.0%*	*12.1%*	*12.2%*	*11.9%*	*12.1%*	*12.0%*	*12.5%*	*12.6%*	*12.1%*		
Rental and services	*8.9%*	*9.2%*	*9.7%*	*8.2%*	*9.0%*	*8.9%*	*9.0%*	*8.2%*	*8.0%*		
Maintenance	*5.5%*	*4.7%*	*5.7%*	*5.5%*	*5.4%*	*6.3%*	*6.4%*	*6.4%*	*6.6%*		
Utilities	*4.2%*	*3.9%*	*3.8%*	*3.9%*	*4.1%*	*4.0%*	*4.1%*	*4.1%*	*4.1%*		
Partnership cost	*0.8%*	*1.6%*	*1.9%*	*2.3%*	*2.7%*	*3.3%*	*2.8%*	*3.3%*	*4.0%*		
Interconnection	*3.1%*	*2.5%*	*2.6%*	*2.8%*	*2.2%*	*2.4%*	*2.5%*	*2.8%*	*2.6%*		
Installation	*1.7%*	*2.5%*	*1.6%*	*1.7%*	*2.3%*	*3.1%*	*2.4%*	*2.7%*	*3.1%*		
USO	*1.3%*	*1.3%*	*1.3%*	*1.3%*	*1.3%*	*1.2%*	*1.3%*	*1.2%*	*1.2%*		
Others	*2.1%*	*1.6%*	*1.8%*	*1.7%*	*1.4%*	*1.4%*	*1.3%*	*1.6%*	*1.4%*		

Source: Company data

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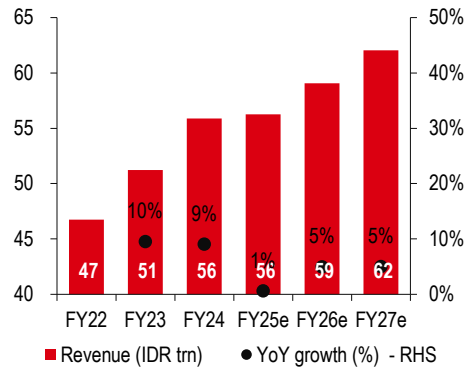
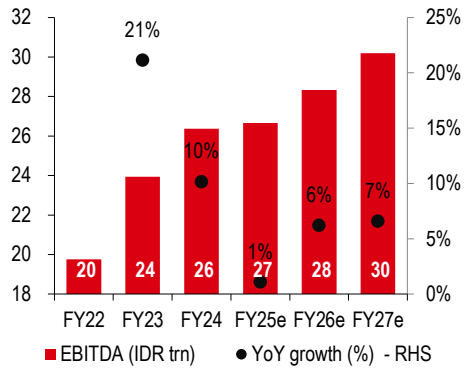
Outlook charts

4. IOH's consolidated revenue CAGR of c4% over FY24-27e



Source: Company data, HSBC estimates

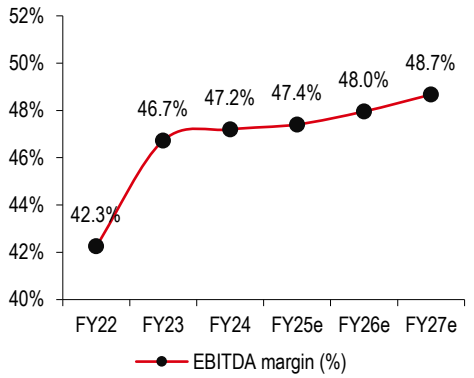
5. IOH's EBITDA CAGR of c5% over FY24-27e



Source: Company data, HSBC estimates

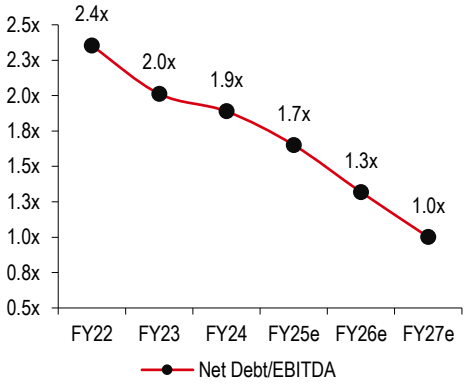
IOH's margins to expand and leverage should decline

6. IOH: EBITDA margin to expand



Source: Company data, HSBC estimates

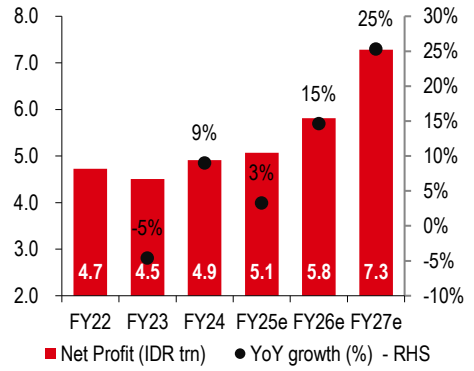
7. ..and Net Debt/EBITDA should decline



Source: Company data, HSBC estimates

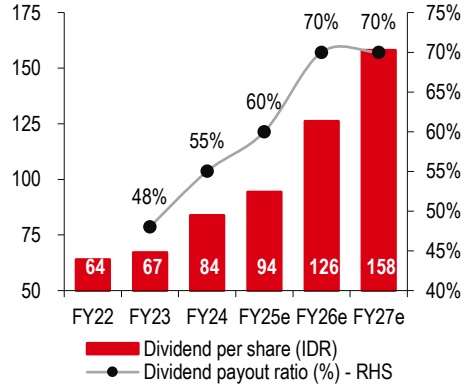
Net profit to rise at 14% CAGR over next 3 years

8. IOH's net profit to expand at CAGR of c14% over FY24-27e



Source: Company data, HSBC estimates

9. IOH's dividend per share to expand at CAGR of c24% over FY24-27e



Source: Company data, HSBC estimates

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Key changes to forecasts

In this report we incorporate and reflect for 3Q25 company reported financials. This leads to a 1.8% cut to our EBITDA estimates for 2025e, due to lower-than-expected EBITDA margin in 3Q. Our earnings estimates remain unchanged on account of lower depreciation and finance charges. Consequently, our revised estimates lead to an unchanged target price of IDR3,000/sh.

10. Indosat: change in estimates

Particulars (IDR bn)	2025e	2026e	2027e
HSBC new estimates			
Revenue	56,251	59,073	62,050
EBITDA	26,667	28,330	30,200
Net Profit	5,069	5,812	7,283
HSBC previous estimates			
Revenue	55,925	59,051	62,105
EBITDA	27,142	28,611	30,469
Net profit	5,050	5,796	7,281
Change in estimates			
Revenue	*0.6%*	*0.0%*	*-0.1%*
EBITDA	*-1.8%*	*-1.0%*	*-0.9%*
Net Profit	*0.4%*	*0.3%*	*0.0%*

Source: HSBC estimates

Valuation and risks

		Valuation	Risks to our view
Indosat Ooredoo Hutchison ISAT IJ **Buy**	Current price: **IDR1,950** Target price: **IDR3,000** Upside: **53.8%**	**Methodology:** Discounted cash flow (FCFF). **Assumptions:** WACC at 12.8%, Cost of equity at 14.6%, based on a risk-free rate of 4.25%, equity risk premium of 5.75%, beta of 1.8. Target debt-to-capital ratio of 25% and cost of debt of 9.0% (all assumptions unchanged) We maintain Buy as our fair value TP of IDR3,000 (unchanged), implies an upside of c54%.	**Downside risks** ◆ Increase in competitive intensity leading to a lower level of data pricing and profitability ◆ Loss of market share as other peers are pursuing fixed-mobile convergence strategy ◆ Higher-than-expected spectrum cost leading to lower-than-expected margins ◆ Unfavourable regulatory changes

Priced at 28 October 2025
Source: HSBC estimates

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Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Piyush Choudhary, CFA and Rishabh Dhancholia

Important disclosures

Equities: Stock ratings and basis for financial analysis

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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Rating distribution for long-term investment opportunities

As of 30 September 2025, the distribution of all independent ratings published by HSBC is as follows:

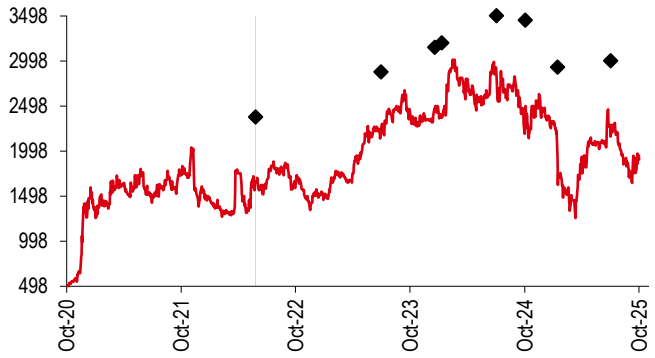
Buy	55%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	38%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	7%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

Indosat Ooredoo Hutchison (ISAT.JK) share price performance IDR Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Hold	Buy	23 Jun 2022	Piyush Choudhary, CFA
Target price	**Value**	**Date**	**Analyst**
Price 1	2375	23 Jun 2022	Piyush Choudhary, CFA
Price 2	2875	28 Jul 2023	Piyush Choudhary, CFA
Price 3	3150	16 Jan 2024	Piyush Choudhary, CFA
Price 4	3200	07 Feb 2024	Piyush Choudhary, CFA
Price 5	3500	30 Jul 2024	Piyush Choudhary, CFA
Price 6	3450	30 Oct 2024	Piyush Choudhary, CFA
Price 7	2930	10 Feb 2025	Piyush Choudhary, CFA
Price 8	3000	30 Jul 2025	Piyush Choudhary, CFA

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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HSBC & Analyst disclosures

Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
INDOSAT OOREDOO HUTCHISON	ISAT.JK	1905.00	29 Oct 2025	7

Source: HSBC

1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.

2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.

3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.

4 As of 30 September 2025, HSBC beneficially owned 1% or more of a class of common equity securities of this company.

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9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.

10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.

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12 As of 24 October 2025, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

13 As of 24 October 2025, HSBC beneficially held a net short position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.

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